

2022 C L D 1048

[Lahore]

Before Shahid Bilal Hassan and Masud Abid Naqvi, JJ

STATE LIFE INSURANCE CORPORATION OF PAKISTAN through Zonal Head/Attorney and others---Appellants

Versus

Mst. MAI BHAGAN---Respondent

R.F.A. No. 30227 of 2020, heard on 24th May, 2022.

Insurance Ordinance (XXXIX of 2000)---

---S. 79---Insurance claim---False information---Scope---Insurance company assailed judgment passed by Insurance Tribunal in favour of respondent/applicant allowing insurance claim of her deceased husband---Plea raised by Insurance company was that facts stated by deceased insured were false---Validity---Deceased husband of respondent/applicant himself filed application to Chairman Insurance Tribunal conceding about furnishing of incorrect details of insurance policy---Insurance company issued insurance policy on the basis of false information---Deceased insured was not owner of any land and was just holding land on lease---Such fact was also confirmed from deposition of attorney of respondent/applicant--High Court set aside judgment passed by Insurance Tribunal---Appeal was allowed, in circumstances.

Malik Muhammad Faisal and another v. State Life Insurance Corporation through Chairman and 2 others 2008 SCMR 456 ref.

Sh. Shahzad Ahmad Pasha for Appellants.

Respondent proceeded against ex parte vide order dated 11.04.2022.

Date of hearing: 24th May, 2022.

JUDGMENT

MASUD ABID NAQVI, J.---Brief facts of this regular first appeal are that Muhammad Ali deceased husband of the respondent/nominee purchased life insurance policy No.50-9758771-1704 dated 20.01.2004, proposal No. 874108, amounting to Rs.5,00,000/- from appellants/State Life Insurance Corporation of Pakistan ("Insurance Company") and deposited certain amount, however, he died on 10.03.2004 due to heart attack and after his demise, respondent/wife/nominee filed an application to appellants/Insurance Company for death claim of her deceased husband according to contract policy but the appellant/Insurance company refused to allow the death claim. Thereafter respondent/nominee filed a complaint before Chairman State Life Insurance but her grievance was not redressed whereupon she moved another application to Wafaqi Ombudsman who gave recommendations in favour of respondent/applicant on 04.07.2007, against which appellants/Insurance Company filed review petition before Mohtasib Islamabad and

the same was declined. The appellant/Insurance Company moved representation before the President of Islamic Republic of Pakistan and the matter was remanded to the Wafaqi Mohtasib but Wafaqi Mohtasib confirmed his previous findings vide report dated 27.01.2015. The respondent/applicant filed writ petition which was disposed of and thereafter respondent/applicant filed application for insurance claim before the learned Insurance Tribunal Punjab Jhang ("Tribunal") which was contested by the appellants/Insurance Company, issues were framed by the learned Tribunal and after recording evidence of the parties and hearing the arguments advanced by both the parties, the learned Tribunal accepted the claim of respondent/applicant vide judgment dated 04.03.2020 in the following terms:-

17. Application of the petitioner is hereby allowed. The petitioner is entitled to receive death claim in accordance with the policy. She is also entitled to claim liquidated damages.

2. Aggrieved by findings of impugned judgment dated 04.03.2020, this regular first appeal has been filed by the appellants/Insurance Company and challenged the validity of the judgment passed by the learned Tribunal. We have heard the arguments of the learned counsel for the appellants and have minutely gone through record and the impugned judgment.

3. Perusal of record reveals that the applicant/nominee filed an application for death claim of her deceased husband namely Muhammad Ali along with its benefits, profits, and bonus and the learned Additional District Judge/Chairman Insurance Tribunal Jhang through judgment dated 04.03.2020 allowed the application and declared the applicant/respondent entitled to receive death claim in accordance with policy as well as liquidated damages. The assured namely Muhammad Ali purchased life insurance policy bearing No. 509758771-0 for a sum assured on Rs.5,00,000/-/commencing from 26.01.2004 under table and term 03/20 with supplementary contract ADB with annual premium Rs.26,045/- and respondent was named as "nominee" in the policy documents for sum of Rs.5,00,000/- by declaring himself as owner of 45 acres of agricultural land with 25 acres of land on lease vide proposal form dated 20.01.2004 and the appellant issued Insurance Policy on 26.01.2004 and thereafter policy holder died on 14.03.2004. The deceased husband of the respondent/nominee himself filed an application to the Chairman Insurance Tribunal conceding about the furnishing of incorrect details of insurance policy, hence, the appellants/Insurance Company issued life insurance policy No. bearing No. 509758771-0 on the basis of false information and he was not owner of any land and he was just holding land on lease. This fact is also confirmed from the deposition of AW.1, Qaisar Abbas son of Peer Bakhsh attorney of respondent/applicant/nominee who conceded that assured/husband of the applicant/respondent was just cultivating land measuring 7-acres on lease and was not owner of any land. Hence, policy was obtained by furnishing incorrect information and fake particulars and the policy was obtained by practicing fraud. It appears appropriate to refer the case law, which is apt to the subject in hand titled Malik Muhammad Faisal and another v. State Life Insurance Corporation through Chairman and 2 others (2008 SCMR 456) wherein the Hon'ble Supreme Court of Pakistan had held as under:-

"We endorse the view of the High Court and feel appropriate to reproduce portions of the judgment, which read as under:

".....Fraud of the agent of Sales Representative of an Insurance company vitiates the contract of Insurance itself and this happens to be proposition universally recognized. In Lakshmishankar Kanji Rawal v. Gresham Life Assurance Society Ltd. (1), it was held that false statement in a proposal form whether at the instance of the assured or of the agent absolves the company of the liability under the contract."

4. In view of the foregoing discussion, we are of the affirmed view that the learned Tribunal erred in law in allowing the application of the respondent/applicant vide impugned judgment dated 04.03.2020 and the same is not sustainable at law, hence, the same is hereby set-aside by allowing this regular first appeal.

MH/S-63/L Appeal allowed.